



ESCALATION CLAUSE ADDENDUM



The following terms and conditions are hereby incorporated into and made part of the Purchase Agreement

dated: _____, 20____ between _____ (“Buyer”)

and _____ (“Seller”)

and relating to the following Property:

Address (Street, City, State, Zip Code)

Legal Description

Or see metes and bounds description attached as Exhibit _____, _____ County(ies),
New Mexico (hereinafter the “Purchase Offer”).

1. DEFINITIONS: For purposes of this Addendum, the following terms have the following meanings:

A. “Net Proceeds” means the Purchase Price *minus the following if paid by the Seller*: 1) payoffs on mortgages, loans and liens and associated fees; 2) real estate commissions; 3) closing costs; and 4) other transaction-related expenses, including, ***but not limited to*** fees set forth in the following paragraphs of this Purchase Agreement: Assessments, Costs to be Paid, Inspections, and Home Warranty.

B. “Other Offer(s)” means one or more bona fide offers to purchase the Property with terms acceptable to Seller, which result in net proceeds of sale payable to Seller equal to or greater than the Net Proceeds of sale payable to Seller under this Purchase Offer.

2. ESCALATION TERMS: The following terms will apply to increase the Purchase Price in this Purchase Offer (“Purchase Price”):

A. Escalating Factor: In the event that Seller receives one or more Other Offer(s), then the Purchase Price (Para. 2 of this Purchase Agreement) shall automatically increase to an amount which generates net proceeds of Purchase to Seller equal to \$ _____ (“Escalating Factor”) in excess of the highest net proceeds of sale generated in such Other Offer(s).

B. CAP: Notwithstanding Para. 2(A) of this Addendum, the Purchase Price shall not exceed \$ _____ (“Cap”).

C. Documentation: In the event that Other Offers cause an increase in the Purchase Price, Seller shall provide Buyer at time of Seller’s submission of a Counteroffer (See. Para. 4 below) sufficient documentation to justify the Purchase Price increase. Unless otherwise noted here, “Sufficient Documentation” means a copy of the Other Offer(s) submitted with the last names(s) of the buyer(s) on the Other Offer(s) redacted. In addition to Sufficient Documentation, Seller shall submit the following: _____

D. Multiple Escalations: Buyer acknowledges that the Escalating Factor of the Purchase Offer and the Escalating Factors of Other Offers may result in multiple escalation and, in some cases, escalations to the Cap.

3. TERMINATION: The terms contained herein are for the use and purpose of obtaining a mutually agreeable Purchase Price and shall be deemed satisfied and will terminate upon ratification of a Purchase Agreement for the Property

4. DISCLAIMER/ACKNOWLEDGMENT: Buyer acknowledges and affirms that the Purchase Offer and Escalation Clause have been made of his/her own volition and discretion and notwithstanding Para. 4, Buyer agrees to forever hold harmless the Brokerage(s) and Broker(s) with regard to negotiation of the Purchase Price. In the event Other Offers are presented on the Property, Buyer acknowledges that a copy of the documents constituting the Purchase Offer may be provided to the parties making such Other Offers.

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NEW MEXICO ASSOCIATION OF REALTORS® — 2025
ADDENDUM NO. _____
ESCALATION CLAUSE ADDENDUM



BUYER(S)

Buyer Signature	Printed Name	Offer Date	Time
Buyer Signature	Printed Name	Offer Date	Time
Buyer Signature	Printed Name	Offer Date	Time
Buyer Signature	Printed Name	Offer Date	Time

 ATTENTION SELLER(S)

EXECUTION AND ACCEPTANCE OF COUNTEROFFER: In the event that Seller agrees to accept a Purchase Price within the terms of the Purchase Offer and pursuant to this Escalation Clause Addendum, Seller shall submit to Buyer a Counteroffer, (NMAR Form 2111B – Escalation Clause Counteroffer) fully executed by the Seller which shall reflect the Purchase Price adjusted according to the escalation provisions contained herein and include any waiver of the appraisal contingency as contained herein (Para. 3(A) or 3(B)), along with Sufficient Documentation (as defined in Para. 2(C)). Acceptance of the Counteroffer will occur upon counter signature by Buyer, and delivery to Seller of the fully ratified Purchase Agreement. Nothing herein prohibits the Seller from making a counteroffer based on terms different from those offered in Buyer's Purchase Offer and this Escalation Clause Addendum.

SELLER(S) INITIALS _____